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Chapter 29: The Economic Basis of the Discrete Leviathan's Distribution-Rights Monopoly

Abstract

This chapter argues the economic basis of the Discrete Leviathan's distribution-rights monopoly. §1 starts from three layers of primary sources (Johnson 1759, Norris 1980, Laird 1998), defining advertising as the institution of "paying to obtain attention that a medium has gathered," which contains two functional lines: the contest for attention and the contest for distribution; it then resets the empirical coordinates of the newspaper decline with four anchoring facts—share collapse rather than a shrinking pie, losers and winners within the industry belonging to different markets, circulation peaking two decades before advertising, and the attention economy not being a new phenomenon of the digital age—and weaves the three independent historiographical lines of Norris, Laird, and Marchand into a century-long history of attention-aggregation succession, showing that what newspapers lost was the aggregation function, not merely their audience. §2 examines the institutional conditions of the new aggregation mechanism: the two legal exemptions of §230 and §512 supply the "may," and thirty years of recommender-system evolution supply the "how"; their combined effect is the structural dispossession of traditional media's distribution rights and the emergence of news deserts. §3 and §4 examine the producer end: the unit of expression is forcibly compressed by the platform's unit of pricing, clickbait and content farms are structural products of AdSense economics, the "traffic-monetization" logic displaces the "creation-reward" logic, and the creator economy exhibits MCN intermediary failure, platform paternalism, and

gig-economy labor conditions. §5 uses the streaming wars (the vertical-integration attempts of AT&T, Comcast, and Disney and their failure) to show that content assets cannot buy distribution rights back. §6 synthesizes: the concentration of advertising revenue supplies the structural condition for transforming both the consumer end and the producer end simultaneously, and this symmetric two-end transformation is the formation of the Discrete Leviathan; the "zero-click" news consumption of AI chatbots prefigures the next stage in which distribution rights upgrade into generation rights.

Keywords

Discrete Leviathan; distribution-rights monopoly; attention economy; algorithmic distribution; news deserts; creator economy

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§1 The Structural Migration of the Advertising Market: From Budget Shifts to Admission-Rights Monopoly

§1.1 Advertising and the Attention Economy: Three Layers of Primary Sources and the History of Naming

To understand the decline of newspapers and the rise of digital platforms, one must first answer a more basic question: what is the relationship between advertising and the attention economy? The textbook narrative defines advertising as an "information-transmission instrument"—once the distance between manufacturers and consumers had widened, advertising took on the job of delivering product facts to distant buyers. If that definition held, the entire explanation of the rise of digital advertising platforms would reduce to a comparison of information-transmission efficiency: whoever is faster, more precise, and cheaper wins.

Three layers of primary sources—drawn from different eras and independent paths—refute this. The function of advertising is not limited to information transmission; it simultaneously contains two independent threads: a **contest for attention** and a **contest for distribution rights**.

1. Samuel Johnson (1759)

Johnson devoted a weekly column in *The Idler*—No. 40, January 20, 1759—to a discussion of advertising, observing that not long after print media commercialized, advertisements had multiplied to the point where readers no longer read them closely:

> Whatever is common is despised. Advertisements are now so numerous that they are very negligently perused, and it is, therefore, become necessary to gain attention by magnificence of promises, and by eloquence sometimes sublime and sometimes pathetick. (Johnson, 1759)

And the sentence immediately following:

> Promise, large promise, is the soul of an advertisement. (Johnson, 1759)

Johnson then gave concrete examples from the advertising of his day: a wash-ball claiming to give razors an exquisite edge; duvets for bed-coverings claiming to be "warmer than four or five blankets and lighter than one"; a beautifying fluid claiming to remove wrinkles and blemishes—the common feature of these promises was that they could not be fulfilled. This passage was published in London in 1759, not long after the commercialization

of print media. Attention scarcity, and the use of promises to contest for attention, had already been recognized within the advertising trade as the norm at this point.

2. Norris (1980)

Vincent P. Norris conducted a textbook study of the history chapters of mainstream advertising textbooks in 1980 and found that, with two or three exceptions, these chapters were merely collections of anecdotes about famous lives; they did not explain the mechanism by which national advertising arose (Norris, 1980). The primary evidence Norris used to refute them was the textbooks and trade literature written by advertising practitioners themselves in the early twentieth century.

Ernest Elmo Calkins published an article tellingly entitled "Eliminating the Jobber" in *Printers' Ink* (Vol. 51, May 31, 1905, pp. 8–11), proposing "eliminating the jobber" as the manufacturers' goal. Norris noted that Calkins specifically declared that "eliminating" here did not mean eliminating the jobber's existence, but rather **subjugating** its position. Calkins's original text:

> To the manufacturer who advertises it makes no difference what jobber or what commission man buys his goods. All of them will have to buy them in the end. Just as soon as a retailer finds that a certain line of goods is so strongly demanded that he must have it, he will go where he can get it. If a given jobber doesn't handle it, he will go to a new jobber. (Calkins, 1905, in Norris, 1980)

Calkins's immediately following summary:

> In the trade, that is known as "forcing distribution." (Calkins, 1905, in Norris, 1980)

A generation later, Claude Hopkins reached the same judgment in an article in *Judicious Advertising and Advertising Experience* (December 1912):

> Most national advertisers are aiming largely to build effective barriers against competition. (Hopkins, 1912, in Norris, 1980)

And a generation after that, George Burton Hotchkiss conceded in *An Outline of Advertising* (1933):

> National advertising by manufacturers was never looked upon with great favor by either wholesalers or large retailers. (Hotchkiss, 1933, in Norris, 1980)

Norris added immediately afterward (not inside Hotchkiss's quotation marks): they understood that the purpose of advertising was to let manufacturers turn around and dominate them. The phrase Norris extracted from three generations of practitioners' primary evidence (Calkins 1905 / Hopkins 1912 / Hotchkiss 1933) was "forcing distribution"—the function of the advertising trade was to let manufacturers cross the retailer–wholesaler distribution chain and directly establish control over market prices and consumer access.

3. Laird (1998)

Half a century later still, Pamela Walker Laird—working from a source path different from Norris's: the archives of the Ayer agency, Wanamaker, Macy, and others—documented the rise of branded advertising by American manufacturers between 1870 and 1900, and reached the same judgment as Norris:

> Impersonal market forces did not determine this movement: manufacturers aggressively and deliberately developed advertising techniques to wrest control of the marketplace away from retailers and wholesalers. (Laird, 1998)

Norris's history of practitioner manuals and Laird's archival history of the agency trade are two independent source paths that reach the same conclusion.

4. The Naming History of the Term: Simon (1971) → Goldhaber (1997)

The academic term "attention economy" requires a layered attribution of its naming history, lest the late-twentieth-century coinage be misread as the starting point of the phenomenon itself.

Herbert Simon, in "Designing Organizations for an Information-Rich World" (1971), first conceptualized attention as a finite resource and placed it in a dual relationship with information:

> Similarly, in an information-rich world, the wealth of information means a dearth of something else: a scarcity of whatever it is that information consumes. What information consumes is rather obvious: it consumes the attention of its recipients. Hence a wealth of information creates a poverty of attention and a need to allocate that attention efficiently among the overabundance of information sources that might consume it. (Simon, 1971)

The phrases Simon used were attention scarcity, poverty of attention, wealth of information—**he himself never named this phenomenon an "attention economy."** In 1971 this was still a derivative problem of organizational design, not an independent economic category.

Michael Goldhaber, publishing "The Attention Economy and the Net" in *First Monday* (1997), systematically named the phenomenon the "attention economy" for the first time:

> What counts most is what is most scarce now, namely attention. The attention economy brings with it its own kind of wealth, its own class divisions - stars vs. fans - and its own forms of property, all of which make it incompatible with the industrial-money-market based economy it bids fair to replace. (Goldhaber, 1997)

Goldhaber simultaneously rejected the "information economy" as a correct description of the emerging digital space—because information itself is **overabundant** rather than scarce:

> economies are governed by what is scarce, and information, especially on the Net, is not only abundant, but overflowing … it is not an information economy towards which we are moving. (Goldhaber, 1997)

Layered attribution: Simon 1971 is the primary source of the concept (attention as a finite resource; the dual scarcity relation between information and attention); Goldhaber 1997 is the primary source of the term ("attention economy" as a complete noun; the "stars vs. fans" class-structure description). Davenport and Beck's 2001 book *The Attention Economy: Understanding the New Currency of Business* made the term widely current in business circles, but the two were not its first users.

5. Synthesis

Johnson 1759 (London literary observation), Norris 1980 (a study of American advertising textbooks), and Laird 1998 (an archival history of the American agency trade)—three layers of sources spanning 240 years, based on different materials and methods—share exactly one meta-judgment: **advertising is the institution of "paying to obtain attention that a medium has gathered,"** and it inherently contains two functional lines: the "promise contest" (the Johnson line) and the "contest for distribution rights" (the Norris + Laird line).

The phenomenon named by Simon 1971 and Goldhaber 1997 had already been recognized within the advertising trade as the norm at the time of Johnson 1759. The contribution of the two late-twentieth-century writers was to **distill** this phenomenon from the trade's internal practical knowledge into an academic concept and an economic category—Simon treating attention scarcity from the standpoint of organizational design, Goldhaber from that of the network economy. This distillation occurred in the very period when digital space was beginning to rewrite the three-way relationship among advertising, media, and audience—at the moment Goldhaber wrote in 1997, DoubleClick had been founded a year earlier, AdSense was six years away, and yet the attention economy was already being perceived as an independent economic category.

With this meta-judgment established, the analysis that follows turns to the control of attention-gathering capacity: whoever holds the "capacity to gather attention" determines the power structure of the advertising industry. In the twentieth century this capacity was jointly carried by newspapers, agencies, and advertisers; in the twenty-first century it has been re-gathered by a handful of digital platforms using a new set of technical means—behavioral-surplus collection (continuing from Chapter 26), algorithmic distribution (continuing from Chapter 27), and precision-targeted auctioning. Newspapers and platforms are not related as "old media versus new media"; they are consecutive incumbents of the attention-gathering institution: the newspaper was itself the previous incumbent of the aggregator role and has now been displaced by the new incumbent. The rest of the chapter asks how this new gathering mechanism formed, how it became a monopoly, and how it rewrote the three-way relationship among advertising, media, and audience.

Note on source verification: The Johnson 1759 quotations in this section were verified against the local electronic *Delphi Complete Works of Samuel Johnson*, from *The Idler* No. 40, Saturday, January 20, 1759; Johnson's period English spelling (pathetick) and the original punctuation are retained. Laird (1998, chapter 1, note 8) re-quotes this passage from Sampson (1874), *A History of Advertising from the Earliest Times*, with the old spelling modernized to pathetic; this section quotes Johnson's collected works directly, restoring the original spelling and punctuation. The Calkins 1905 quotation cited in Norris (1980) is from the article entitled "Eliminating the Jobber," *Printers' Ink*, Vol. 51 (May 31, 1905), pp. 8–11—"eliminating the jobber" being the very title of that article; Norris in the same essay also quotes the editorial "Manufacturers Are Now Interested in Advertising," *Printers' Ink*, Vol. 51 (May 31, 1905), pp. 32–33. The Hopkins quotation is from "Dealing with Public Opinion," *Judicious Advertising and Advertising Experience*, Vol. 11 (December 1912) (not in his 1927 autobiography *My Life in Advertising*); Hotchkiss 1933 is from *An Outline of Advertising*, Macmillan. Simon (1971) is from Martin Greenberger (ed.), *Computers, Communications, and the Public Interest*, Johns Hopkins Press. Goldhaber (1997) is from *First Monday* 2(4), April 7, 1997. All of the above were verified locally against primary sources.

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§1.2 Background Framework: Four Facts to Anchor First

The analysis that follows must first anchor four empirical facts. These facts have long been obscured by the popular narrative of "newspapers beaten by digital advertising"; once they are anchored, the analysis must redraw the distinctions among audience change, advertising share, and distribution control.

1. The newspaper decline is a "share collapse," not a "shrinking pie." Between 2011 and 2022, total advertising spending in the United States expanded from $157.8 billion to $340.8 billion (a 2.16-fold increase,

an average of 7.3% annualized); over the same period the newspaper share of advertising fell from 17.2% to 2.9% (eMarketer plus Pew Research Center, drawing on News Media Alliance/former NAA and SEC filings data). Newspapers did not shrink together with a shrinking market; they suffered a share collapse inside a continuously expanding market. This fact is consistent with the long-run stability of the US advertising/GDP ratio in the 2.0–2.5% band since 1919 (Coen Structured Advertising Expenditure Dataset).

2. Within the newspaper industry there were simultaneously "losers" and "winners," belonging to different markets. In the digital advertising market (dominated by Google/Meta) the newspaper industry failed across the board and its share collapsed; but in the digital subscription market the leading newspapers (NYT, WSJ, Washington Post) expanded against the trend—on Pew's supplementary series, which combines AAM-based estimates with the digital-subscription figures disclosed by the Times and the Journal, this blended measure rose from 34.66 million in 2016 to 42.97 million in 2022 (+24%)—not a count of unique paying readers, but an indication of how top-paper digital-subscription growth shaped the industry aggregate. The NYT alone passed 11 million subscriptions in 2024. The analysis below must treat the two markets separately, to avoid the crude narrative of "collective newspaper shrinkage."

3. Newspaper circulation peaked twenty years before advertising did. Weekday circulation peaked in 1984 (about 63.34 million) and Sunday circulation in 1990 (about 62.64 million) (Editor & Publisher/NAA historical data); but the advertising revenue peak came in 2005 ($49.4 billion). This fifteen-to-twenty-year gap shows that advertising revenue was not supported by audience size alone—for more than a decade after audiences began declining, advertising kept rising. What supported ad prices was the newspaper's attention aggregation position in its local press market, not total audience. Once Google handled search advertising, Craigslist handled classifieds, and Facebook handled display advertising, what newspapers lost was not their audience but the "aggregation function."

4. The attention economy is not a new phenomenon of the digital age. Marchand's archival record of the 1920s advertising trade in *Advertising the American Dream* (1985) shows that by around 1927 the trade had already internalized the self-understanding that "the paint dollar . . . must fight the car dollar, the radio dollar . . . and the savings bank dollar"—advertising was contesting not merely specific ad slots but consumer time and attention as such. Newspapers had been competing for attention continuously since 1927; what changed in the digital era is that the new platforms completed the aggregation of attention and newspapers lost their attention share. On the Pew series compiled from Comscore data, in the fourth quarter of 2020 the selected US newspaper websites averaged about 13.87 million monthly unique visitors per site—a per-site average of US visitors that cannot be directly converted into a platform's worldwide monthly actives, though it suffices to show that the digital reach of leading newspaper sites is not on the same scale as the platforms—newspapers never built attention aggregation of their own in the digital domain.

These four facts are not conclusions of the analysis that follows; they are the empirical premises on which it rests.

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§1.3 The Structural Collapse of Newspaper Advertising Revenue

In the Pew Research Center's annual data on newspaper advertising and circulation revenue (1956–2022), US newspaper advertising revenue peaked in 2005 at $49.4 billion and declined sharply overall thereafter (with a

one-year rebound in 2021), so that by 2022 only $9.76 billion remained—a drop of more than 80%. In 2020, newspaper circulation revenue ($11.05 billion) exceeded advertising revenue ($9.60 billion) for the first time—the first such reversal since records began in 1956, triggered by the collapse of advertising under the COVID-19 shock; in the final two years covered by the series used here (2021 and 2022), that relationship still held (2022: circulation $11.6 billion vs. advertising $9.76 billion).

The violence of this collapse is related to the structural features of the American newspaper. Roughly 80% of total US newspaper revenue depended on advertising (Pickard, 2020), far above international peers (German newspapers drew only 41% from advertising and 51% from sales—Lindstädt & Budzinski, 2012). Newspaper penetration had declined continuously since the 1950s (Picard & Brody, 1997); absolute circulation entered a sustained decline after the 1984 peak (Editor & Publisher/NAA historical data). By the beginning of 2018, US daily newspapers had fallen to 1,277, with total weekday circulation of 29.2 million—less than half the 1984 peak—and Sunday circulation of 33.2 million, nearly half below the 1990 peak (Editor & Publisher, 2018). Between 1955 and 1985, the number of independent newspapers fell by nearly half as they were absorbed by chains; thereafter the quarterly-return pressures of public companies led management to cut newsrooms rather than reinvest (Pickard, 2020). Until around 2005, newspapers still maintained margins of 20–40%—structurally fragile, yet reporting high profits.

Share collapse and absolute decline occurred together. Total US advertising spending has been approximately stable at 2.0–2.5% of GDP since 1919 (Coen Structured Advertising Expenditure Dataset; Silk & Berndt, 2020, confirm a structural break toward rising elasticity in the late 1990s). In 2005, newspaper advertising's $49.4 billion was about 18% of total US advertising spending of $271 billion. By 2022, with US nominal GDP roughly twice its 2005 level, an ad/GDP ratio of 2.2% implies a total advertising pool of roughly $500–560 billion—of which newspapers' $9.76 billion accounts for under 2%. What newspapers lost was not a fixed quantum of money; it was **a fall from an 18% share to under 2%** in a continuously growing market.

On the motives for going online. Why did newspapers put their content on the web for free in the mid-to-late 1990s? The representative study that conducted primary academic survey research on executive motives is Krumsvik (2006): 193 Norwegian newspaper executives, surveyed in April 2005, with a 68% response rate. Asked for "the primary function of the online edition," only 5% of executives made "providing a new revenue source" their first choice—second from last; the top answer was "serving multiple channels" (30%), followed by "defending market position" (23%), then "promoting the print edition" (12%), with a further 8% choosing "projecting a contemporary image." The three defensive motives together account for 43%. Krumsvik quotes Denise Caruso's judgment (1997, *Columbia Journalism Review*): "fear, uncertainty and doubt" were the most important drivers of newspapers' leap into the online venture. This is Norwegian rather than American data, but it is one of the few available primary surveys of executive motives (no comparable study earlier than 2006 was located).

On the causal attribution of the "free mentality." There are direct data on the difficulty of charging after long free provision: NYT's TimesSelect (2005–2007) attracted only 227,000 paying users against 13 million monthly uniques for the free content in the same period—a conversion rate of about 2%. Chyi & Ng (2020), tracking fifty US dailies to 2017, found digital subscriptions contributed only 3% of total readership revenue. But at least two paths exist for explaining this phenomenon: the "habituated to free" thesis—long free provision cultivated a consumer mentality unwilling to pay (Myllylahti, 2014); and the "inferior good" thesis of Chyi & Yang (2009)—demand for online news falls as income rises ($\beta = -0.126$, $p<0.01$), an economic concept of an

"inferior good" that says nothing about content quality; 72–83% of internet users would still choose the print edition under a "same content, same price" assumption, suggesting that users do not pay not merely because they are "habituated to free," but more plausibly because the online medium itself is perceived as a low-value good. The two paths coexist, and the current literature has not settled on a single cause.

The scale asymmetry of the digital advertising increment. US digital advertising revenue (IAB/PwC measure) reached $258.6 billion in 2024. The newspaper industry's all-time peak total advertising revenue, placed inside the digital advertising market, would equal only about a quarter of Meta's 2025 advertising revenue alone ($196.2 billion). Pew's data show that between 2011 and 2022, US non-digital advertising fell from $124.8 billion to $96.0 billion (a loss of $28.8 billion), while digital advertising rose from $33 billion to $244.8 billion (a gain of $211.8 billion). The increment ($211.8 billion) is more than seven times what traditional media lost ($28.8 billion). This means the bulk of the digital advertising market did not "transfer" from traditional media. In an economy with a near-stable ad/GDP ratio, digital advertising's growth is partly the natural expansion of the total pool with GDP, and partly the minting of previously unpriced user behavior (browsing, queries, swipes) into new auctionable ad inventory—the relative weight of the two is an open question. What can be said with confidence is this: the old media's inventory was limited column-inches and time slots; the digital platforms' inventory proliferates continuously with user behavior.

§1.4 The Order of Death and the Gradient of Pricing Advantage

The collapse of traditional media did not happen synchronously; it proceeded strictly by "distance from the point of transaction":

1. **Classified advertising** was decapitated first and died hardest (down more than 91% in a decade). Classifieds are in essence a matching market—buyers seeking sellers. Craigslist and the search engines did precisely the stronger matching, replacing this function outright.
2. **Brand television advertising** took nearly two decades before entering its accelerated decline. Brand advertising is a business of the mind; precise pricing acts most weakly on it, and it was breached only after in-feed video and connected TV (CTV) matured. US television advertising peaked in 2018 at $72.4 billion (lifted by the midterm elections and the Winter Olympics), then declined year after year; PwC projects it will fall to $46.2 billion by 2027.
3. The explosion of retail media (+17.5% growth in the UK) is the terminal station of this logic: price the ad at the point of transaction itself.

The order of the digital advance followed the "gradient of pricing advantage" strictly: eat what is conversion-measurable first, eat what is only reach-measurable last.

The old media also underwent a "three-stage death": first the loss of share (US television advertising share peaked in 1994); then the loss of absolute value (the avalanche in absolute newspaper advertising after 2007); and finally **the loss of definition**—when UK television advertising showed +3.8% growth in 2024, it did so by expanding the definition of "total television" to include ad-supported SVOD/AVOD/FAST channels. The measurement body AA/WARC restructured its reporting system in 2026, with retail media and social media listed as independent channels for the first time. When the metric collapses, redefine the metric's domain to manage the narrative of decline—this is the institutional version of Goodhart's Law.

§1.5 Attention Admission Tickets: The Theoretical Framework of Prat and Valletti

The above data cannot be read merely as "digital works better, so advertisers voted with their feet"—beyond the improvement in efficiency, the conditions of market entry must also be examined. Prat and Valletti (2022), in "Attention Oligopoly," supply an alternative explanatory framework.

They define digital platforms as "attention brokers": on one side the platform obtains proprietary data about users' product preferences through their search and communication activity; on the other it sells targeted advertising slots to firms in the retail products industry—incumbents and entrants alike. The key claim is that when attention-broker concentration rises, the brokers have an incentive to manufacture an "attention bottleneck" by reducing the supply of targeted advertising. The paper states plainly:

> "A monopolistic attention broker has an incentive to create an attention bottleneck by reducing the supply of targeted advertising. If an attention broker reduces the number of ads it sells, it will reduce the number of retail firms that have access to consumers, thus increasing their market power." (Prat & Valletti, 2022)

The consequence of this mechanism is not merely "ad prices go up." It rewrites the entry conditions of the downstream product market: once the attention bottleneck is tightened, more visible positions are occupied by incumbent firms (which are willing to pay to keep entrants away from consumers), and new entrants are filtered out before consumers ever become aware that their products exist. The paper proves that when consumers' attention is controlled by a few platforms—

> "Entry is pre-empted and both product prices and ad prices are high." (Prat & Valletti, 2022)

In other words: concentration in the platform advertising market does not merely mean the platforms earn more—it rewrites the competitive landscape of the downstream retail market along with it. Advertising becomes an infrastructural power over "who can reach potential consumers, and who is filtered out before the entrance."

Why could traditional media not do this? Because they could not simultaneously satisfy two conditions: (i) obtaining information about an individual user's current product preferences; and (ii) targeting ads to a specific user. Prat and Valletti state explicitly that "more traditional media like TV or newspapers are still mainly unable to achieve (i) and (ii)" (Prat & Valletti, 2022). What traditional media sold was "blind-box" exposure—buy the full page without knowing who saw it; what platforms sell is "admission tickets into a specific consumer's attention."

§1.6 The State of Concentration in 2026

On forecast measures as of 2026, the global digital advertising market presents the following picture (concentration figures below use the eMarketer net digital advertising revenue estimates, released April 2026, with 2026 as forecast values, not directly commingled with companies' reported revenues):

- Google advertising revenue: $214.0 billion (2025)
- Meta advertising revenue: $196.2 billion (2025); eMarketer forecasts Meta will surpass Google for the first time in 2026 at $243.5 billion (vs. Google's $239.5 billion)
- Amazon advertising revenue: $68.6 billion (2025), projected to reach $82.1 billion in 2026
- The three together account for roughly 62% of global digital advertising (2026 forecast)

- YouTube's single-platform advertising revenue of $36 billion (2024) exceeds the combined total of the four major US broadcast networks
- Five firms (Google + Meta + ByteDance + Amazon + Alibaba) account for more than 50% of total global advertising spending (GroupM measure, 2024)

If Meta does overtake Google in 2026 as forecast, the meaning of the event is not just a change in the ranking of "who is bigger." Google's pricing base is search—**user-initiated**, the platform captures intent; Meta's pricing base is the feed—**platform-initiated**, the user reacts. A revenue overtake means the ledgers confirm for the first time that the total priced volume of passive pushing has exceeded that of active retrieval.

This also gives meaning, from this angle, to the DoubleClick acquisition (2007, Google, $3.1 billion): it was not merely a merger event—it gave Google the ability to place precisely targeted advertising on third-party websites across the entire web, tracking users' web-wide browsing behavior through third-party cookies. Traditional media sold advertising "blind-box" style; Google, via DoubleClick plus cookies, could guarantee "your money lands precisely on people with purchase intent." This is what drained the advertising budgets of traditional media across the whole web—the hidden mothership of the adtech monopoly.

§1.7 Newspaper Decline as Long-Run Structural History: Three Independent Source Lines (Norris, Laird, Marchand)

The newspaper decline was not a digital-era event. Three independent historical investigations—Norris (1980), Laird (1998), and Marchand (1985)—reposition the newspaper's pre-digital longue durée outside the textbook narrative.

§1.7.1 The Textbook Narrative's Triple Refutation

The structure of the textbook narrative: advertising is an information-transmission instrument; the newspaper is merely one carrier of that transmission; digital platforms provided more efficient information transmission; hence newspapers were eliminated. Three historians, from different eras and disciplinary backgrounds, supply a triple refutation of this narrative.

Norris (1980) refutes from the perspective of political economy. Working from primary practitioner sources such as Calkins (1905), Hopkins (1912), and Hotchkiss (1933), Norris holds that the actual function of national advertising was not information transmission but **"forcing distribution"**—manufacturers crossing wholesalers and retailers to reach consumers directly and thereby build market power.

Laird (1998) refutes from the perspective of archival history. Laird's direct judgment, in her first chapter, "Marketing Problems and Advertising Methods as America Industrialized," on the mechanism by which manufacturer brand advertising rose between 1870 and 1900:

> "Impersonal market forces did not determine this movement: manufacturers aggressively and deliberately developed advertising techniques to wrest control of the marketplace away from retailers and wholesalers." (Laird, 1998)

Laird's sources rest on the archives of the Ayer agency, Wanamaker, Macy, and others—working from different materials and methods than Norris's practitioner manuals—yet the two share one narrative aim: brand advertising was an institutional seizure of power launched by manufacturers against the distribution link, not a reprinting

of information cards.

Marchand (1985) refutes from the perspective of cultural history. Through the trade's internal archives, Marchand shows the agencies styling themselves "apostles of modernity," the "ambassador of the final consumer," and "the voice of business' better self"—while the agencies' actual demographic composition severely mismatched the "ambassador" narrative (roughly 66% of New York copywriters' households employed maids, against 5% nationally); internal trade reports likewise acknowledged that advertising involved "benign deceptions" and performances before double audiences (Marchand 1985, ch. 2). As a self-description, "advertising = information transmission" had already been denied outright in the industry's own back office.

The meaning of the triple refutation: the newspaper decline cannot be read as "an inefficient information-transmission medium replaced by an efficient one." From the day of its birth, advertising was not an information-transmission instrument but an institutional expenditure over which commercial actors contested distribution control, consumer attention, and industry legitimacy. The role newspapers long played in this history must be repositioned.

§1.7.2 The Attention Economy Is Not a New Phenomenon of the Digital Age

The "attention economy" is commonly attributed to Herbert Simon's 1971 academic naming, or to the narratives of Goldhaber 1997 and Davenport & Beck 2001—with the implication that it is a phenomenon peculiar to the digital age. Two early sources directly refute that implication.

London, 1759. Laird (1998, chapter 1) quotes Dr. Samuel Johnson's description from the 1759 *The Idler*:

> "Advertisements are now so numerous that they are very negligently perused, and it is therefore become necessary to gain attention by magnificence of promises, and by eloquence sometimes sublime and sometimes pathetic." (Laird, 1998)

"Gaining attention by magnificence of promises" was already named as the trade's self-understanding in mid-eighteenth-century London. Attention scarcity plus attention-grabbing had been confirmed by the trade as its basic contradiction not long after print media completed its commercialization.

The United States, 1927. Marchand (1985, chapter 4, "Abandoning the Great Genteel Hope") records the saturation panic inside the American advertising trade around 1927—the industry named its sales anxieties outright as saturation:

> "Not only did advertisers face competition from all other products, but their ads had to contend with all other diversions for the reader's time and attention." (Marchand, 1985)

> "the paint dollar . . . must fight the car dollar, the radio dollar . . . and the savings bank dollar" (BBDO internal bulletin, as quoted in Marchand, 1985)

One contextual variable of the period: the growth rate of new car registrations fell from 24% in 1923 to 5% in 1927 (Marchand, 1985)—saturation in the product market and saturation of ad space arrived together. Newspaper and magazine pages were crammed with advertising; a 1927 *Saturday Evening Post* cartoon put it plainly: "I Lost Control of the Sunday Paper."

The implication: the attention economy is a structural fact of the trade's interior, on record since the eighteenth century. Digital platforms did not create attention scarcity; they supplied **a new technology for resolving it**.

Newspapers and platforms are not related as "old media versus new media," but as **consecutive incumbents of attention aggregation**: the newspaper was itself the previous-generation aggregator and has now been displaced by the new aggregator.

§1.7.3 The Hundred-Year History of the Aggregation Contest

Placing Laird (1998), Marchand (1985), and the Pew/NAA circulation data into a single chronological chain:

Stage 1: the 1820s–1870s—retailers build the institutional form of aggregation (Laird 1998, ch. 1): - 1841: Lord & Taylor pioneers the one-price policy - 1846: Alexander T. Stewart's Marble Palace in New York (proto-department store) - 1858: R. H. Macy uses aggressive advertising to offset an inferior location - 1861: John Wanamaker's ad-heavy style in Philadelphia - 1862: Stewart's Cast Iron Palace, the first fully departmentalized store - 1872: Montgomery Ward, the first mail-order catalog firm (extracting middlemen's margins, selling directly to rural audiences) - 1893: Sears and Roebuck's general-line catalog

The mechanism of retail aggregation: entering the market across middlemen, establishing the credibility of fixed prices, using the store as the concentration point of audiences.

Stage 2: 1870–1900—manufacturers seize distribution rights (Laird, 1998; Norris, 1980): brand advertising, "aggressively and deliberately developed . . . to wrest control of the marketplace away from retailers and wholesalers." Manufacturers were not the inventors of attention aggregation; they were latecomers challenging an aggregation position the retailers had already built.

Stage 3: 1895–1905—the advertising agency enters aggregation, with a narrative of "progress" (Laird, 1998): the agencies shift from being mere space intermediaries to "purposeful innovators and agents of modernity." What happened here was not a change in the aggregator's face but the industrialization of the aggregator's internal intermediary: the newspaper remained the audience concentration point, while ad content, cards, and design were contracted to agencies such as J. Walter Thompson, Lord and Thomas, and N. W. Ayer.

Stage 4: 1919–1931—new media take the stage one after another and are accepted by the trade (Marchand 1985, chs. 3–4): - 1919: *True Story* and the *Daily News* founded simultaneously → 1927: the trade converts wholesale to tabloid style, 8 years - 1922: radio station WEAF begins toll broadcasting → 1928: Lucky Strike confirms direct radio advertising, roughly 6 years - 1931: the Gallup Des Moines poll → 1932: the newspapers fully accept comic-strip advertising, roughly 12 months (the Depression compressed the arc)

In this stage the newspapers **did not lose their aggregation position**: the tabloids, radio, and the comics opened **new audience segments**, and the newspapers' own circulation peaks (weekday 1984, about 63.34 million; Sunday 1990, about 62.64 million) arrived only after radio, television, and the comics had all taken the stage.

Stage 5: the 2000s onward—digital platforms form a new mode of attention aggregation: - Google's "user-initiated + platform-captured" aggregation of search intent - Facebook's "platform-initiated + user-reactive" feed aggregation - Amazon's "transaction-embedded" retail-media aggregation

The difference from the previous four stages: **the commodity of aggregation is no longer the card-based concentration of audiences by occupation and geography, but the real-time classification of audience intent and behavioral signals**. Newspapers once aggregated a city's audience by territory and social category (the newspaper's circulation zone); the new aggregator aggregates, in real time, the behavior and intent signals of the users its platforms cover. The difference in scale: on the Pew series compiled from Comscore data, the

selected US newspaper websites averaged about 13.87 million monthly unique visitors per site in the fourth quarter of 2020 (Pew Research Center, based on Comscore data), versus more than 2 billion monthly actives for Facebook and billions for Google Search—not on the same scale.

§1.7.4 Newspapers Lost the Aggregation Function, Not Audience Size

Return to the four anchoring facts of §1.2 and place them back into the hundred-year framework of the aggregation contest:

Fact three: weekday circulation peaked in 1984 (about 63.34 million), Sunday circulation in 1990 (about 62.64 million), and advertising revenue in 2005 ($49.4 billion in the United States)—a fifteen-to-twenty-year gap. The direct explanation in business history: newspaper advertising pricing rested not on total audience but on the newspaper's aggregation position within its local press market. That aggregation position was still unchallenged at the 1984–1990 circulation peaks; it collapsed after 2005, as Google, Craigslist, and Facebook replaced its functions one by one. The time between the two peaks is the time it took for the aggregation position to be lost.

Fact four (§1.2's attention aggregators), re-examined over the longer historical span: newspapers did not "lose their audience"; they were one generation in a long history of successive aggregators—belonging to the aggregation era of the 1870s–1980s, they naturally lost their historical position when the new-generation aggregators (Google/Meta) took the stage. That position was never, from the beginning, an "information-transmission intermediary" (the textbook narrative) but an **aggregation intermediary between manufacturers and consumers** (confirmed triply by Norris, Laird, and Marchand).

Fact one (the share collapse), re-examined over the longer historical span: the fall of the newspaper advertising share from 17.2% to 2.9% (2011–2022) is not the first "aggregator succession" in history. The last structural change of the same type occurred in the 1870s, when retailers yielded part of their aggregation share to patent-medicine makers and other manufacturers. The "patent-medicine dominance" in Norris's historical sources (of the 104 national advertisers in 1893, more than half were patent-medicine makers) is directly isomorphic with Google's disproportionate share of total advertising expenditure today. Historically, aggregator succession could collapse the old aggregator's share—this wave of change is no exception.

§1.7.5 Section Summary

The newspaper decline can be read properly only by introducing the century scale. A long time-scale narrative compatible with the modern data:

1. The attention economy was named in the trade's internal record as early as eighteenth-century London—not a new phenomenon of the digital age.
2. Newspapers were not an "information-transmission medium" but the urban card-concentration points connecting manufacturers and consumers during the aggregation era of the 1870s–1990s—triply confirmed by Norris, Laird, and Marchand.
3. What newspapers lost was not their audience but the aggregation function—the audience peak arrived fifteen to twenty years before the aggregation function was lost, and the aggregation function was taken over by the new aggregators in the digital age.
4. Historically, aggregator succession could collapse the old aggregator's share (the patent-medicine dominance of the 1870s)—this wave of change has historical precedent.

The following §2, "The Legal Foundations and Technical Path of Distribution-Rights Migration," discusses how the new aggregators acquired and protected their aggregation position—the other face of the same coin as this section's account of newspapers losing the aggregation function.

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§2 The Legal Foundations and Technical Path of Distribution-Rights Migration

§2.1 The Dual Exemptions: How Section 230 and Section 512 Founded Platform Distribution Rights

The platforms' distribution rights were not stolen from traditional media. They rest on two legal exemptions.

The first is Section 230 of the 1996 Communications Decency Act (CDA §230). Its core provision: an internet platform cannot be treated as the "publisher or speaker" of content its users post, while retaining an absolute right to restrict any content—"whether or not such material is constitutionally protected" (Dabhoiwala's "absolute" is a rhetorical gloss; §230(c)(2) protects good-faith restrictions on content, and "absolute" is not the provision's literal property). Dabhoiwala, in *What Is Free Speech?*, calls those twenty-six English words that say a platform cannot be treated as a publisher or speaker (§230(c)(1)) "the twenty-six words that created the internet" (Dabhoiwala, 2025). What §230 solved was the problem of content liability: a platform can carry vast quantities of user content without bearing publisher responsibility.

The second is Section 512 of the 1998 Digital Millennium Copyright Act (DMCA §512). The US Copyright Office's official formulation is that the safe harbor will "shield qualifying online service providers from monetary liability for copyright infringement based on the actions of their users, in exchange for cooperating with copyright owners to expeditiously remove infringing content." Its core mechanism is the notice-and-takedown system: the rights-holder sends notice → the platform removes → the user is notified → the user may file a counter-notice → content is restored in 10–14 business days unless the rights-holder has already sued. Crucially, §512(m) states explicitly: active monitoring may not be made a condition of safe-harbor protection.

Section 230 and Section 512 together form the two pillars of platform immunity: the former protects against general liability for user content; the latter against secondary liability for copyright infringement. The combined effect: platforms can carry user-produced content free of charge, with the legal risk of carrying user content at scale significantly reduced—conditional limitations, not comprehensive immunity.

This legal framework passed its crucial test in the 2007 Viacom v. YouTube litigation. Viacom sought $1 billion from YouTube, alleging that Google willfully ignored copyright infringement and profited from it. In June 2010 the district court granted YouTube summary judgment under the §512 safe harbor; in 2012 the Second Circuit affirmed in part, vacated in part, and remanded for further findings on such facts as the platform's knowledge of specific infringements (Viacom Int'l, Inc. v. YouTube, Inc., 676 F.3d 19); following the remand, the district court again granted summary judgment to YouTube in April 2013, and the parties settled during the subsequent appeal in March 2014. The outcome confirmed a key precedent: a UGC (user-generated content) platform that satisfies the notice-and-takedown conditions can operate sustainably under copyright law without pre-screening every upload.

But Dabhoiwala also observes that the platforms' actual conduct has long since exceeded the "neutral conduit" position:

> "platforms purposefully arrange the information on their websites, algorithmically targeted at each viewer, so as to boost certain communications and demote others" (Dabhoiwala, 2025)

They are in fact publishers rather than neutral conduits—the law has simply not caught up with this reality.

§2.2 From Human Editors to Algorithmic Distribution: Thirty Years of Recommender Systems

The legal exemptions supplied the condition of "may"; the recommender system supplied the technical apparatus of "how."

The technical evolution of recommender systems can be divided into several key stages (Dong et al., 2022):

1. **1992**: Goldberg and colleagues propose the Tapestry system—the first collaborative-filtering-based information filtering system. The same year, Belkin and Croft distinguish "information filtering" from "information retrieval"—the former becomes the technical base of recommender systems, the latter of search engines.
2. **1996**: Net Perceptions is founded—the first commercial company specializing in recommendation-engine services, with clients including Amazon, Best Buy, and JCPenney. The following year (fall 1997), the GroupLens lab at the University of Minnesota launched the MovieLens project.
3. **2006–2009**: The Netflix Prize drives research on matrix-factorization models. But Netflix ultimately did not deploy the winning solution—the engineering costs were too high.
4. **2016 to the present**: Industrial deployment of deep-learning recommendation models—Wide&Deep, DeepFM, YouTubeDNN, and other industrial recommenders go live. DIN/DIEN use attention mechanisms to model user interest sequences.

For this chapter's argument, the key node is not the ingenuity of the technology itself but what the industrial deployment of deep-learning recommenders around 2016 marks: a transfer of power, in which the power to distribute content moved from human editors (newspaper newsrooms, television schedulers) to algorithms. Jordan (2024), in *The Rise of the Algorithms*, sums up the shift as:

> "The consolidation of power shifts from content creation and mass distribution to algorithmic distribution, highlighted by deep personalization at planetary scale." (Jordan, 2024)

Traditional media's power rested on "creating content that could attract the mass audience"; platforms like YouTube and TikTok outsource content production to the user population and concentrate the real power in the algorithmic distribution layer. Jordan writes explicitly: "For Internet platforms, content creation is largely outsourced to segments of the audience." The platforms "don't have to try to pick winners"—they let users make the content while controlling who can be seen.

ByteDance is the most extreme executor of this logic. Brennan, in *Attention Factory*, notes that ByteDance was "the earliest Chinese internet company to go 'all in' on the then-nascent technology and commit to the daunting task of building a recommendation engine, challenging the status quo of human curation" (Brennan, 2020). TikTok's For You engine made no breakthrough in technical principle—Jordan's judgment is that "the recommendation engine in the For You algorithm breaks little new ground, instead applying existing techniques consistently, pervasively, and within tight constraints." Its advantage lay in driving existing techniques to extreme consistency and high-frequency iteration in the environment of short video, full screen, single stream, and continuous feedback.

More important is TikTok's structural difference: it is not a social graph but a content-reaction machine. Jordan writes: "TikTok is not and does not pretend to be a social graph … Users are matched only with content, not people." Users need not first build social relations; the platform matches users directly with content. This means the algorithm holds complete distribution authority—no social relations stand in between.

§2.3 The Consequences of Distribution Dispossession: News Deserts

The combined effect of legal exemption plus algorithmic distribution is that traditional media's distribution rights were structurally dispossessed.

The dispossession is not abstract. Pew Research Center data show the average visit duration on newspaper websites falling from 2.59 minutes (2014) to 1.48 minutes (2022), a 43% decline. Schäfer's (2020) research shows that after Facebook's 2018 algorithm change, news content made up only about 4% of the visible content in the average feed—"Facebook has recently downgraded the importance of news in their algorithm, making news content only 4% of what is visible in an average news feed" (as quoted in Schäfer, 2020). The platform unilaterally decides the visibility of news in the user's feed.

The final consequences are physical. According to the Medill Local News Initiative (Northwestern University) 2025 report (Metzger & Franklin, 2025): since 2005, nearly 3,500 American newspapers have disappeared (close to 40% of the total); 212 counties have no local news source of any kind; 1,525 counties have only one; and 50 million Americans "live with limited or no access to local news." Digital news sites, though growing, are more than 90% concentrated in metropolitan counties—news deserts (rural counties) and digital-news prosperity (metro counties) form a geographic opposition.

Abernathy's 2020 research introduced the further concept of the "ghost newspaper"—a paper that nominally continues to publish but has substantively lost its capacity to cover local news. This is the gray zone between "having" and "not having": the dissolution of common knowledge is not a sudden event but a gradual degradation.

The disappearance of newspapers is not merely a business failure. Barclay and colleagues (2024), in a qualitative study of seven English local areas, position local news media as a "political institution"—its functions include accountability, agenda-setting, and the construction of community identity. When this institution dissolves, what disappears is not just a business model but the informational infrastructure of the local public sphere.

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§3 Producers Transformed by Platforms (I): Expression Compression and Content Degradation

§3.1 A History of Expression-Unit Deflation

The evolution of the platform's unit of pricing forcibly compressed the unit of expression. Starting with the click in 1994, the unit at which user behavior is priced has shrunk step by step:

- 1994: the click. Banner-ad click-through rates decayed from roughly 44% at the start to under 1%—the novelty-dividend curve.
- 1998: the query. Ten blue links; the self-report of intent.
- 2006: 140 characters. Twitter's SMS-pipe constraint is fossilized into a genre.

- 2009: the like / one bit. The Like button is born; the retweet is invented by users and co-opted by the platform.
- 2013: six seconds / 24 hours. The Vine loop; the artificial evaporation of Stories.
- 2016: one swipe. Full-screen single item; the decision binarized—stay or go.
- The 2020s: accelerated playback. Viewing at twice normal speed and skip-watching become normal.

Running parallel is the measured decline in the duration of attention. Gloria Mark's team (UC Irvine), using computer logging—second-precise behavioral records rather than self-reports—tracked the actual screen behavior of knowledge workers: average on-screen attention span was 150 seconds in 2004 (Mark, Gonzalez & Harris, 2005, a CHI observational study of 24 information workers), fell to 75 seconds in 2012, and averaged 47 seconds in 2016–2021 (the 2016 median was 40 seconds—half of all observations shorter than 40 seconds) (Mark, 2023). An observational study of software developers replicated the same order of magnitude (20 developers over eleven workdays, averaging 50 seconds) (Meyer et al., 2017).

§3.2 Clickbait as a Structural Product

Clickbait is not the moral failure of "unscrupulous editors"; it is the necessary product of AdSense economics.

Eichhorn, in *Content*, traces the causal chain: Google AdWords (2000) and AdSense (2003) let anyone place advertising on a personal website. But to make real money—"not $50 a month but $5,000 or $50,000 a month"—took vast numbers of pages, high traffic, and "unique and relevant" content. This directly spawned the content-farm industry.

Demand Media (later renamed Leaf Group) is the classic case. When Wired investigated it in 2009, its goal was to produce one million items of content per month (against roughly 5,000 New York Times pieces per month the same year). Writers averaged $15 per piece and videographers about $20, paid weekly via PayPal. Wired's reporter Daniel Roth described it:

> "It's the online equivalent of day laborers waiting in front of Home Depot." (Roth, 2009, as quoted in Eichhorn, 2022)

What is the essence of clickbait? Eichhorn's formulation:

> "What continues to deceive many readers is that clickbait is really just a frame for advertisements, even if it appears to be the main show." (Eichhorn, 2022)

The content farm's primary purpose was never to convey information but to provide display space for AdSense advertising. A reader believes they have found quality information about how to become a teacher or an engineer; in reality, the very purpose for which those occupational sites exist is entirely different—namely, to create a space in which ads can be served.

Chakraborty and colleagues (2017) confirm this shift from the communication-studies angle:

> "The attractiveness of a news article's content has become more relevant than the credibility of the organization writing that article." (Chakraborty et al., 2017)

When attractiveness overtakes credibility as the governing logic of content production, content degradation is not an occasional malfunction but a system property.

§3.3 "Traffic-Monetization" Displacing "Creation-Reward"

He Degui and Chen Junyu, in their study of the connotative characteristics, generative logic, and governance strategies of "digital swill," analyze the triple mechanism by which the "traffic-monetization" logic replaced the "creation-reward" logic on Chinese platforms:

First, traffic becomes the proxy measure of content value. Platforms define "quality content" by clicks, dwell time, and interaction rates, forcing creators into the pursuit of eye-catching effects.

Second, traffic is monetized through multiple channels—ad revenue shares, platform subsidies, live-stream tipping, e-commerce referrals.

Third, the traffic-monetization logic forces production behavior to adjust directionally—creators actively compress content depth, amplify emotional tension, and copy hot templates.

He Degui further points out that metric measurement dissolves the temporal contemplation that meaning-making requires: there is a structural conflict between the delayed gratification on which deep content depends and the rapid iteration that data production demands. Platforms also practice "selective enforcement": high-traffic low-quality content gets lenient review, while content that might offend advertisers' interests gets stricter control.

Giansiracusa (2021), in *How Algorithms Create and Prevent Fake News*, condenses this logic into Pageview Economics. He quotes Ryan Holiday's verdict:

> "The economics of the Internet created a twisted set of incentives that make traffic more important—and more profitable—than the truth." (Giansiracusa, 2021)

And, taking pay-per-click blogging as his example, he observes that "a lengthy, methodically researched and fact-checked article provides no more financial value than a piece of vapid tabloid trash"—immediately qualifying himself that this formulation oversimplifies the situation, and that high-quality blogs can still retain readers on the strength of their content; but monetization priced by exposure does decouple investment in quality from per-unit income. "Traffic matters more, and is more profitable, than the truth" is not a moral failure but the necessary consequence of structural incentives.

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§4 Producers Transformed by Platforms (II): Labor Conditions in the Creator Economy

§4.1 The Scale and Illusions of the Creator Economy

The creator economy is packaged in a narrative of "decentralization" and "empowering individuals." The scale is indeed striking: 54% of Americans aged 13–38 say they would become an influencer given the chance (Saldanha, 2019); SignalFire's estimate placed the worldwide creator population at roughly 50 million, most of them amateur or part-time (reported in Yuan and Constine, 2020; as quoted in *The Routledge Companion to Advertising*)—a total that cannot be read directly as the number of people earning a living from content creation. The influencer-marketing market grew from $1.7 billion in 2016 to $13.8 billion in 2021 (Cong & Li, 2023). China's influencer economy already had more than 6,500 related enterprises in 2019, with an industry scale exceeding 500 billion yuan (Cong & Li, 2023).

But these aggregate figures conceal an extreme Pareto effect. Mathias Bärtl's statistics show that on average 85%

of all video views flow to 3% of channels (Bärtl, 2018, as quoted in Cunningham & Craig, 2021). Google CEO Sundar Pichai announced in 2019 that "creators earning between $10K and $1M on YouTube AdSense grew 40% year over year," but the volume's editors note this is "classic spin"—the platform selectively discloses favorable data (Cunningham & Craig, 2021). Platform data opacity is systemic; the editors' introduction concedes as much: "Gaining authoritative, independent data on the scale and economic value that platforms and creators derive from SME is almost impossible" (Cunningham & Craig, 2021).

§4.2 The Failure of the MCN System

The multi-channel network (MCN) is the intermediary layer between platform and creator. Its promise: to help creators obtain brand partnerships and sponsorship deals. Its reality: it takes a cut of revenue while largely failing to deliver the promise.

The chapter on toy-unboxing creators by Jarrod Walczer in *Creator Culture* documents this failure in detail (Walczer, chapter in Cunningham & Craig, 2021):

Interviewed creators report that joining an MCN required paying 15–30% of their YouTube AdSense revenue to the MCN, in exchange for which the MCN was to provide brand partnerships and sponsorship deals. But most interviewed creators reported that these deals were "largely not delivered." One creator's explanation: what the MCN actually provided was a kind of "YouTube insurance"—protection on legal, copyright, and algorithmic matters; other forms of value return were "negligible at best."

Interviewed creators also reported that MCN agents "largely failed to represent them"—attending only to revenue numbers rather than how to improve revenue, lacking personal relationships, with no advocacy, no balance, no creativity, no cultivation.

The 2017 YouTube brand-safety crisis (the "Adpocalypse," the advertisers' boycott) compounded the problem. The platform required creators to declare advertiser-acceptable categories for their content and submit to manual re-review; most interviewed creators reported income losses of up to 90%. The collateral damage was not confined to extreme content: the fundraising video by Casey Neistat and #LoveArmy for the Las Vegas shooting victims was taken down by the platform's automated flagging; Philip DeFranco's civic-issue videos on school gun control, Myanmar refugees, and a journalist's arrest were also throttled—the interviewed creators said these practices not only cut off their livelihoods but suppressed the information and participation rights of themselves and their communities (Walczer, chapter in Cunningham & Craig, 2021).

§4.3 Platform Paternalism and the Politics of Visibility

Creators' dependence on platforms is not only economic but also disciplinary. Jordan (2024) notes: "Many creators speak of being 'slaves to the algorithm' "—creators' fame and income depend heavily on the platform's black-box distribution, and expression does not grow freely but is disciplined by view counts, retention, and engagement metrics.

Petre, Duffy, and Hund (2019), in "Gaming the System: Platform Paternalism and the Politics of Algorithmic Visibility," supply the more precise analysis. They observe that platforms do not deny visibility strategies as such; what they deny are visibility strategies "not defined by the platform." The key claim: the line between what platforms deem illegitimate algorithmic manipulation and legitimate strategy is nebulous, and largely reflective of their material interests—"the line between what platforms deem illegitimate algorithmic manipulation and

legitimate strategy is nebulous and largely reflective of their material interests" (Petre et al., 2019). Through moralized language, platforms paint the accused "system gamers" as moral deviants while styling themselves as neutral actors defending authenticity and integrity. The authors name this dynamic "platform paternalism"—the platform unilaterally issues rules, pronouncements, and punishments, declaring that it does so for the best interests of its user network. This grants platforms not only economic power but moral authority.

This paternalism compounds inequality among creators: well-resourced large organizations can offset traffic losses through paid advertising, PR, and recovery mechanisms, while independent creators and small producers are far less able to cope with shadowbans and demotion.

§4.4 Labor Conditions: From Prosumer to Gig Worker

At its base, the creator economy's labor conditions are indistinguishable from the traditional gig economy.

While researching *Content* (2022), Eichhorn logged onto Upwork and recorded the going rates for content writing: two cents per word, $3 for 300 words, even unpaid work in exchange for a "five-star review." Writers were required to surrender copyright and attribution.

Cunningham and Craig record the power asymmetry between advertising agencies and creators: agencies use the word "collaboration" to deny that a commercial relationship exists—creators are given an "opportunity" rather than pay. The agency bills its client for engaging the creator, but gives the creator "little or nothing"—or merely gifts, products, and discount coupons (Cunningham & Craig, 2021).

Still lower is platform micro-task labor. Webb (2020), in *Coding Democracy*, records the conditions on Amazon Mechanical Turk: most click workers earn under $2 per hour, while the company claims to offer "choice, autonomy, and equal opportunity." No guaranteed hours, no benefits, no minimum wage.

Gehl (2014), in *Reverse Engineering Social Media*, reveals the essence of this structure through an art project: the artist sumoto.iki's "web2diZZaster" reduced social media websites to empty HTML shells—a social media without user content is nothing but a "ghost form." This shows a simple fact: user labor is the sole source of platform value, yet users lack control over how that value is distributed.

Webb's summary is more direct: "Platform capitalism is a winner-take-all competition"—network effects drive monopoly; users flock to the dominant platform; the platform becomes more valuable, controls more attention and data, grows further, and early advantage solidifies into market dominance.

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§5 The Counterattack and Failure of Traditional Media: The Streaming Wars

§5.1 The Attempt and Cost of Vertical Integration

After their distribution rights were dispossessed, traditional media did not sit waiting for the end. They attempted a series of vertical integrations—rebinding content and conduit—to take distribution rights back. Almost all failed, or succeeded only at enormous cost:

AT&T–Time Warner: In October 2016 AT&T announced the acquisition of Time Warner for $85.4 billion; in 2017 the DOJ filed an antitrust suit to block it; in June 2018 Judge Richard Leon approved it unconditionally. But "lawful is not the same as wise": a mere three years later, AT&T sold the Time Warner assets to Discovery

under a $43 billion framework, merging in 2022 into Warner Bros. Discovery. In Q2 2024—two years after the merger—WBD took a $9.1 billion goodwill impairment on the television-networks business, after which S&P cut its credit rating to junk, citing "declining revenues and cash flows" from the legacy television business. In June 2025 WBD announced it would split into two public companies. The whole transaction took six years from announcement to divestiture, and another three to the business split.

Comcast–Time Warner Cable: In February 2014 Comcast announced the acquisition of Time Warner Cable for about $45 billion. DOJ staff reported their recommendation to block the deal to Attorney General Eric Holder. The core objection: post-merger, Comcast would control roughly 60% of US broadband connections. On April 24, 2015, Comcast formally terminated the acquisition agreement.

Disney–Fox: In 2019 Disney acquired the entertainment assets of 21st Century Fox for $71.3 billion. This was to stock the content library for the forthcoming Disney+. But a content library is not distribution rights—a point that Disney+'s later operations verified painfully.

§5.2 The Mechanisms of the Distribution-Rights Battle: Input Foreclosure and Customer Foreclosure

Nuechterlein and Shelanski, in *Digital Crossroads*, make the regulatory logic behind these deals clear: what the video-distribution market has long feared is not merely that some company grows big, but the two-way foreclosure that vertical integration produces:

First, the program access rules prevent input foreclosure—the vertically integrated firm using upstream content to squeeze downstream distribution rivals. Certain programs are near-necessities for subscribers, who may be willing to give up a competitor's service rather than do without them, returning to the incumbent that holds the content.

Second, the program carriage rules prevent customer foreclosure in the reverse direction—the vertically integrated firm using its distribution assets to keep independent programmers from effectively reaching enough viewers to achieve minimum efficient scale. For an independent content supplier, as long as the major distributors refuse carriage or engage in discriminatory ranking, the costs of production become very hard to recover.

For Comcast–NBCU, the regulators feared the most classic must-have programming foreclosure: after acquiring NBCU, Comcast could use the NBC broadcast stations and popular cable channels to foreclose rival distributors. For AT&T–Time Warner, the DOJ pursued the finer bargaining-leverage theory: if a breakdown in negotiations caused a blackout, some of the subscribers who churned might move to DirecTV, cushioning the upstream content-fee losses. The court ultimately rejected the theory.

What these deals repeatedly contested was not merely merger approval but "who can turn a necessary input into a toll gate." When content and distribution belong to different companies, the conflict is mainly over copyright fees, retransmission fees, and windowing; once content and distribution re-merge into one body, the conflict escalates: who can rewrite the negotiating power of the entire distribution ecology through exclusive content, channel bargaining, carriage conditions, blackout threats, and even online streaming access.

§5.3 Netflix: Proof That Distribution Rights Matter More Than Content

Netflix's trajectory is a counter-verification: its success proves precisely that holding distribution rights matters more than holding content.

Netflix was founded in 1997 and launched its streaming service "Watch Now" on January 16, 2007, with an initial catalog of roughly 1,000 titles. The key nodes thereafter: in 2013 *House of Cards* went live—Netflix's first high-budget original exclusive series (the earlier *Lilyhammer* had tested the water in 2012)—breaking the Hollywood/network monopoly on first runs; in 2016 Netflix launched simultaneously in 130 countries.

But there is no linear relation between a subscriber base in the hundreds of millions and sustained profitability. In Q1 2022, Netflix lost a net 200,000 subscribers—its first decline in over a decade. On the announcement the stock fell 35.1% in a single day, erasing $54.4 billion in market value—the largest single-day drop in Netflix's history. Netflix then began adjusting its monetization: an ad-supported tier launched in November 2022, and in May 2023 it formally cracked down on password sharing in the United States (Netflix estimated that about 100 million households used the service without paying via shared passwords). After the crackdown, Q3 2023 added 8.76 million subscribers in a single quarter, and Q1 2024 added another 9.33 million. By the end of 2024, Netflix had roughly 301.6 million paid subscribers worldwide (announced January 2025, after which Netflix stopped disclosing subscriber counts), with annual content spending exceeding $17 billion.

Netflix's lesson: it does not produce most of its content, but it controls the channel that reaches audiences. Spending $17 billion a year on content and still needing advertising and a password-sharing crackdown to sustain profitability proves that distribution rights cannot be maintained by burning money on content alone.

§5.4 Disney+: The Cost of Traditional Media's Digital Transition

Disney+ is the case in which traditional media threw the most money at trying to build distribution rights of its own. The subscriber figures below distinguish the total measure including Hotstar from the core measure excluding Hotstar.

Launched November 12, 2019, with 10 million sign-ups on day one (including Verizon free trials); past 100 million subscribers 16 months later (March 2021); peaking at about 164 million (including Hotstar) at the end of 2022. Thereafter re-measurement overlapped with churn: the loss of the IPL cricket rights shrank the Hotstar base sharply (about 25 million), and with price increases, core Disney+ stood at roughly 124.6 million in the first quarter of fiscal 2025; by the end of fiscal 2025 core Disney+ had recovered to roughly 131.6 million.

The financial trajectory is more telling: the DTC business lost $4 billion in FY2022, lost $2.5 billion in FY2023, posted its first annual profit of $143 million in FY2024, and reached $1.3 billion in FY2025. After Bob Iger's return at the end of 2022, streaming profitability became the core strategic priority: cost cutting, price increases, content-spending discipline, and a password-sharing crackdown. The turn from a $4 billion loss to a $1.3 billion profit took three years.

The loss of sports rights proves a deeper point: for a streaming platform, particular content (sports events, heavyweight IP) is the content-layer anchor of distribution rights—lose the anchor and you lose subscribers. But the cost of holding anchors is extreme (Netflix's $17 billion annual content spend; Netflix's contract with WWE valued at $5 billion over 10 years), and they can be outbid by competitors.

The Disney+ story proves: even owning the world's most powerful content library (Marvel, Star Wars, Pixar, National Geographic), the direct-to-consumer (DTC) segment that houses it still took roughly three years to move from annual losses to annual profitability—and a combined segment result cannot be equated with the stand-alone profit and loss of Disney+ itself. A content library is not distribution rights.

§5.5 Summary: Why Vertical Integration Failed

AT&T bought in for $85.4 billion and divested under a $43 billion framework; Comcast was blocked by the DOJ; Disney lost money for three years before streaming turned a profit; Hulu went from its 2007 joint-venture founding to the end of the joint-venture structure in 2025—Disney paid a cumulative total of about $9.05 billion in two installments ($8.61 billion at the guaranteed floor valuation in December 2023, plus a further $439 million after the June 2025 appraisal) to acquire NBCU's remaining stake and take full ownership; the one beachhead traditional media seized in the digital world passed, eighteen years on, into the hands of a single owner.

These failures share one structure: traditional media tried to buy distribution rights back with content assets, but distribution rights have moved—to date without reversal—to the platforms' algorithmic layer. Content can be bought, sold, outbid, and expire; but the power of algorithmic distribution, once established, does not waver when the ownership of any one series or any one copyright changes hands.

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§6 The Transformation of Both Ends: The Formation of the Discrete Leviathan

§6.1 The Symmetric Structure of Two-End Transformation

The argument of this chapter can be condensed into one causal chain: advertising revenue concentrates → distribution rights become a monopoly → both ends are transformed.

The consumer end (covered in Chapters 26–28): behavior collected → preferences modeled → choices replaced.

The producer end (this chapter): expression compressed → visibility algorithmically controlled → creative autonomy structurally dispossessed.

The common basis of both transformations is that the concentration of advertising revenue gives the platform the structural condition for transforming the two ends simultaneously. The same set of data and distribution mechanisms can act on consumers and producers simultaneously—the advertising monopoly provides the economic condition for continuously shaping behavior at both ends. For consumers, the advertising monopoly means limitless extraction of behavioral data (because more precise targeting is worth more money); for producers, it means visibility becomes a resource that the platform can allocate and withdraw unilaterally.

§6.2 The Meaning of Being Driven Out of the Attention Market

As §1.3 noted, in 2020 US newspaper circulation revenue exceeded advertising revenue for the first time—something not seen once in the statistics since 1956 (2022: circulation $11.6 billion vs. advertising $9.76 billion; after advertising's one-year rebound in 2021, the gap widened again in 2022). This means newspapers have fallen back into the pre-advertising revenue structure: charging readers directly, no longer reselling readers' attention.

The paywall means more of the costs are shifted onto readers—not a victory of rights, but the residual mode of survival after being struck from the attention market. When the platform unilaterally compresses news to about 4% of visible feed content (Schäfer, 2020), the newspaper's choices reduce to two: accept the platform's traffic-allocation rules, or retreat behind a paywall. The former means accepting the platform's unilateral control over visibility; the latter means giving up the mass audience.

§6.3 Early Omens of the Fourth Stage: From Distribution Rights to Generation Rights

The next stage referred to in this §6.3 is the fourth stage, now appearing in omens, that follows the three stages of Collecting You (before 2012), Understanding You (2012–2022), and Replacing You (after 2022) covered in Chapters 26 through 28: distribution rights upgrading into generation rights. This section presents the data omens showing that this stage is beginning.

Reuters Institute data for 2026 (Ross Arguedas, 2026) show that news use of AI chatbots has reached 10% (weekly, up from 7% the year before), yet of all respondents only 4% say they always or often click through to the original source links from an AI chatbot (on the same measure: search 19%, social 17%). Only 1% name AI as their main news source.

This points to a new stage: "zero-click" news consumption extends from search engines to AI conversation. What publishers face is not traffic shifting but traffic evaporating. When users get the full answer inside an AI chatbot and no longer click the original link, the content producer's distribution rights are compressed further—not how much you are "allowed to be seen," as decided by the algorithm, but whether you still "need to be seen at all," as decided by the generation model.

If Meta overtakes Google in advertising revenue in 2026 as forecast, then the ledgers confirm for the first time that the total priced volume of passive pushing has exceeded that of active retrieval. And Google itself is being pressed from two sides: on the push side, Meta is grabbing budgets; on the intent side, LLMs are undermining its foundation—users ask the chatbot and go, producing no auctionable clicks.

The fourth stage does not create new revenue first; it first tears up the foundations of the old pricing units. When distribution rights upgrade further into generation rights, none of the mechanisms described in this chapter—advertising concentration, legal exemption, algorithmic distribution, expression compression, creator discipline, the failure of traditional media—will disappear; they will repeat themselves on a new technical layer.

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